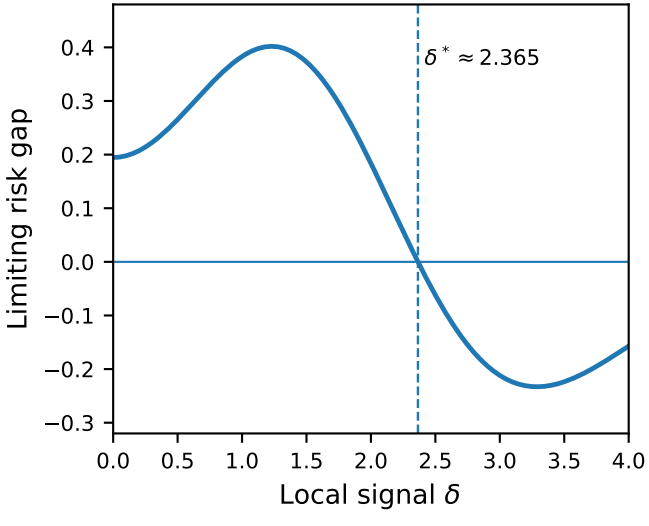
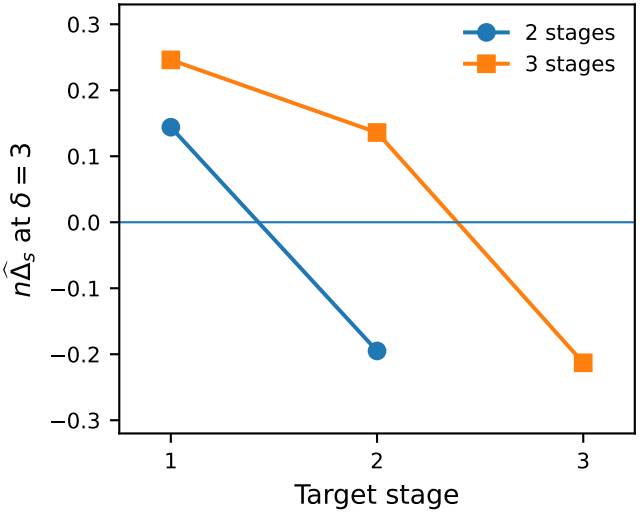

(a) Terminal one-stage benchmark
Limiting risk gap
Local signal δ
$\delta^* \approx 2.365$
0.4
0.3
0.2
0.1
0.0
−0.1
−0.2
−0.3
0.0
0.5
1.0
1.5
2.0
2.5
3.0
3.5
4.0


(b) Backward risk reversal
$n\widehat{\Delta}_s$ at $\delta = 3$
Target stage
2 stages
3 stages
0.3
0.2
0.1
0.0
−0.1
−0.2
−0.3
1
2
3